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Compliance Audit and Strategic Advisory Memorandum

Risk-based corporate compliance review for an Indian private company

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Jurisdiction: India
Status: Educational simulation; fictional facts clearly identified

Important: Fictional company details are not real audit findings. Verify current law, applicability and transaction facts before use or execution.

Introduction and Executive Summary

This memorandum presents a simulated audit of Aarohan Digital Solutions Private Limited, a fictional unlisted Indian private company. No real records were inspected. The illustrative review identifies six areas for verification: filing evidence, board/shareholder records, directors' interests and related-party transactions, financial reporting and controls, conditional governance obligations, and contract/data/workplace practices. The aim is to propose practical corrective actions and improve accountability.

Scope, assumptions and methodology

The company's capital, turnover, net worth, borrowings, employee count and subsidiary status are unknown. The framework covers governance, registers, filings, financial reporting, contracts, data and workplace policies. A real audit would define the entity profile, collect records, compare evidence with current requirements, rate gaps and assign owners, deadlines and closure evidence. This is not a statutory audit, secretarial audit or certification.

Finding 1 — Compliance calendar and filing evidence (High, provisional)

Illustrative observation: no single calendar links obligations to trigger, due date, owner, reviewer, filing receipt and evidence. Risk: missed filings, additional fees, penalties and inaccurate records. Action: obtain current MCA master data and filing receipts, reconcile annual filings with approved accounts, have a company secretary verify omissions and create a central calendar with second-person review. Never backdate or fabricate evidence.

Finding 2 — Board and shareholder records (High, provisional)

Illustrative observation: notices, agendas, attendance, quorum, disclosures, minutes and action records may be incomplete or stored separately. Risk: weak evidence of valid authorisation and oversight. Action: create a meeting register and board-action tracker; verify sections 96, 173 and 174 and applicable rules/exemptions; review the articles; correct records transparently and lawfully.

Finding 3 — Conflicts and related-party transactions (High, provisional)

Illustrative observation: director disclosures may not be refreshed and approvals/pricing rationale may not be evidenced. Risk: conflicts, challenged transactions and reporting issues. Action: review declarations, related-party lists, ledgers and contracts; assess sections 184, 188 and 189; document approvals, arm's-length analysis and recusal where required; obtain professional advice on remediation.

Finding 4 — Financial reporting and controls (High, provisional)

Illustrative observation: bank reconciliations, journal reviews, segregation of duties and accounting-access evidence may be incomplete. Risk: error, fraud, misstatement and audit findings. Action: map the financial close, reconcile key accounts, restrict permissions, log access changes and document review evidence. Sections 128, 129, 134 and 143 may be relevant, subject to applicability.

Finding 5 — Conditional obligations (Medium–High, provisional)

Illustrative observation: no written matrix assesses CSR, committees, vigil mechanism or secretarial audit. Risk: overlooking an obligation or applying irrelevant requirements. Action: use current financial and corporate data to assess sections 135, 177, 178 and 204 with applicable rules; record the basis for each conclusion and obtain company-secretary/chartered-accountant review.

Finding 6 — Contracts, data and workplace (Medium, provisional)

Illustrative observation: contract renewals, confidentiality, data access, incident escalation and workplace records may not be centrally controlled. Risk: disputes, data incidents and employee complaints. Action: maintain a contract register, standardise signing authority, apply access and retention controls, establish incident response, and assess the POSH Act, 2013 and DPDP Act, 2023 plus rules and commencement provisions.

Audit checklist

Review: incorporation documents and MCA data; directors and meeting records; statutory registers; annual returns and financial statements; accounting reconciliations and audit points; interest declarations and related-party approvals; CSR/committee/secretarial audit applicability; material contracts; employment and POSH assessment; data access, incidents, backups and retention; board dashboard and training records.

Strategic recommendations and 30–60–90 day plan

Appoint a Compliance Coordinator while retaining departmental accountability; provide a quarterly board dashboard; keep a secure repository with version control; use two-person filing review; adopt a written conflicts process; document finance controls; train staff; and verify applicability before claiming compliance. Days 1–15: collect filings, identify urgent issues and review related parties. Days 16–30: reconcile filings/minutes and build a calendar. Days 31–60: implement contract, retention and control procedures. Days 61–90: test remediation, report residual risks and establish quarterly monitoring.

Legal Framework and Conclusion

Companies Act, 2013, including sections 92, 96, 128–129, 134, 137, 173–174, 184, 188–189 and, where applicable, 135, 177–178 and 204; applicable rules; MCA forms and notifications; SEBI LODR only if within scope; POSH Act, 2013; and DPDP Act, 2023 plus current rules/commencement. Official sources: https://www.indiacode.nic.in/ ; https://www.mca.gov.in/ ; https://www.sebi.gov.in/legal.html. Findings are hypothetical, not verified breaches. This is not legal advice, a statutory audit report or certification of compliance.